



Housing Fund Policy

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Overview

The **Housing Fund** is a public funding scheme established under the **Housing Act (Cap. 117)** that facilitates provision of funds for the design, development, and maintenance of affordable housing, institutional housing, and associated social and physical infrastructure.

Fund Objectives



Capital Mobilization

Mobilize capital from Government (through 3% employer/employee contributions), Development Finance Institutions, Affordable Housing Home Owners Savings Plans, and Local Banks



Bulk Purchaser (De-risking Developers)

Offer certainty of sales in the form of an **offtake undertaking** to allow developers access construction financing; purchase housing units for cash once construction is complete



Long-Term Financier (Enabling Homeowners)

Allow Kenyans to save for an affordable home via a Savings Plan; offer home buyers access to an affordable **25-year Tenant Purchase Scheme** with interest rates between **3% and 7%**

Funding Sources



Public and Member Contributions

Statutory contributions from employees and employers (**3% each**); voluntary contributions from potential homeowners to HOSP; rental revenue; grants; returns on investments



Debt and Borrowings

Short-term credit lines from banks and DFIs; issuance of **Mortgage Backed Securities (MBS)** to institutional investors



Other GoK Funding

Short-term loans from the Government

Liability Capping

The Fund cannot have outstanding guarantees of more than **150%** of its **Equity Capital** at any time.

Individual Accounts

Account Creation

The Corporation shall cause to be established and maintained for each member an individual account known as the **member's Housing Fund Account**.

Account Statement

Each member's account shall show:

Item	Description
Credits	Member contributions
Voluntary Contributions	Additional voluntary payments
Additional Contributions	Extra contributions
Transfer Payments In	Transfers into the account
Transfer Payments Out	Transfers out of the account
Interest Credited	Interest earned on the account

Each member shall receive an **annual benefit statement** at the end of every financial year.

Account Closure

An account is deemed closed when:

- All moneys due have been **paid out**
- The member has **ceased to be a member**
- **No claim** for benefits is pending

Contributions Policy

Employer and Employee Contributions

Contributor	Rate
Employer	3% of employee's gross salary
Employee	3% of gross salary
Total	6% of gross salary

Voluntary Member Contributions

Contribution	Amount	Purpose
Housing Fund Contribution	KES 100 per month	Accrues to the Housing Fund
Member's Account Contribution	Minimum KES 100 per month	Accrues to the member's Housing Fund Account
Total Monthly Contribution	KES 200	Combined contribution

Additional Contributions

Every member may make **additional contributions** which shall be credited to the member's individual account.

Mode of Payment

Contributions shall be paid directly to a **designated Housing Fund Account** as specified by the Corporation.

Return on Contributions

Policy	Description
Rate Setting	The Corporation shall set out the rate of return on contributions made by members

Policy	Description
Annual Specification	The Corporation shall, on an annual basis , specify the return applicable on members' contributions

Incorrect Contributions

Scenario	Policy
Payment in Error	Amount paid in error shall be refunded without interest OR applied to current liability with consent
Excess Contributions	Amount in excess shall be refunded within three months without interest OR applied to current/future obligations with consent

Nomination of Dependants

Requirement	Description
Nomination	Every member shall furnish particulars of themselves and their dependants
Annual Update	Members shall update their nomination annually
Corporation's Discretion	The Corporation may decline to pay or vary the nominated beneficiary

Survivors' Benefit

Policy	Description
Eligibility	Deceased member's contribution paid to dependants if the member was contributing at the time of death
Amount	Equal to the member's Housing Fund Account balance and interest accrued
Trust	Held by the Corporation on trust for the nominated beneficiary
Estate Exclusion	The benefit shall not form part of the assets in the estate of the member

Retention of Receipts and Earnings

All **receipts, earnings, and accruals** to the Housing Fund, and the balance of the Housing Fund at the close of each financial year, shall be **retained** by the Fund for the purposes of the Fund.

Quick Summary – Housing Fund Policy

Established: Housing Act (Cap. 117) | **Contributions:** 3% employer + 3% employee = 6% total

Voluntary Members: KES 200/month (KES 100 + KES 100 minimum)

Interest Rates: 3% – 7% per annum | **TPS Tenure:** Up to 25 years

Key Takeaways

- **3 objectives:** Capital Mobilization, Bulk Purchaser (De-risking Developers), Long-Term Financier
- **Liability Cap:** Cannot exceed 150% of Equity Capital
- **Individual Accounts:** Created for each member with annual statements
- **Survivors' Benefit:** Paid to dependants, held in trust, excluded from estate
- **Retention:** All earnings retained by the Fund

END OF DOCUMENT

Prepared by the State Department for Housing and Urban Development, Kenya

For more information, visit the **Boma Yangu** portal.